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Sustainable Luxury

BY SILVIA BELLEZZA* AND JENNIFER SUN†

Introduction

Sustainable luxury refers to a category of high-end products and services that are designed and delivered with environmental and social responsibility in mind. It merges the traditional notions of luxury, which often emphasize high quality, exclusivity, and aesthetic appeal, with a strong commitment to ethical sourcing, responsible manufacturing, the use of long-lasting materials, and environmentally friendly disposal of the goods, including resale.

The core concept of sustainable luxury is rooted in the belief that luxury does not have to come at the cost of the environment or social equity. For example, as a way to commit to sustainable use of raw materials, luxury brands such as Stella McCartney and Gucci use the Econyl yarn made from recycled nylon, which includes ocean plastics and scraps, to create clothing items for their collections. Similarly, Prada has launched its signature nylon bags in the new sustainable Re-Nylon collection using the Econyl fabric.¹

Fast Fashion as a Major Contributor of Landfill Waste

In stark contrast to sustainable luxury, fast fashion often overlooks environmental and social responsibility in favor of speed and cost reduction. Fast fashion, the mass production of cheap, disposable clothing, has been identified as a significant contributor to environmental pollution, particularly landfill waste. This industry is characterized by a rapid turnover of trends, encouraging consumers to purchase and discard clothing at an alarmingly fast rate. As a result, the fast fashion sector has become a major source of textile waste. It is estimated that the industry is responsible for 10% of global carbon emissions and nearly 20% of wastewater, with millions of tons of unused fabric going to landfills each year.² Furthermore, the impact of fast fashion extends beyond just landfill contribution. It encompasses a range of environmental and social issues, including the use of toxic dyes, the shedding of microplastics into the oceans, and an inadequately compensated workforce.³

Author affiliation

*Associate Professor of Business, Columbia Business School

†Columbia Business School PhD Candidate

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Despite fast fashion clothing and accessories contributing to pollution and waste production, some consumers still find sustainability and luxury to be incompatible concepts.⁴ Are luxury and sustainability at odds with each other, or is sustainable luxury the right step toward a better model for production and consumption?

Durability at the Intersection of Sustainability and Luxury

Luxury brands have long emphasized the overlap between luxury and sustainable longevity of their products. For example, François-Henri Pinault of the Kering Group recently stated that “luxury and sustainability are one and the same.”⁵ But what exactly do luxury products and sustainable goods have in common? One critical factor lies in the durability of the high-end products. Product durability is characterized by two distinct dimensions: the functional dimension, which pertains to the physical longevity of clothing due to sturdy construction and the utilization of superior materials; and the stylistic dimension, which considers whether a product remains fashionable over time, rather than succumbing to fleeting trends or the transient fashion cycles.⁶ Luxury products are durable in that they not only physically last a long time but also embrace timeless styles that transcend the changing trends (see Exhibit 1).

In fact, luxury brands are committed to lengthening the life cycle of their products by enhancing durability using innovation and cutting-edge technology. For example, inside Gucci’s ArtLab in Scandicci, Italy, are laboratories with state-of-the-art robotics and facilities equipped to test durability of various materials used in the luxury brand’s products, such as elastic bands for bag zippers and rubber for heels.⁷

Historically, many luxury brands have emphasized the stylistic durability of their products, with classic designs and styles that do not go obsolete as years go by. The enduring popularity of classic bags such as the Fendi Baguette or Dior Saddle Bag speaks to this timeless appeal, proving that true craftsmanship transcends fleeting trends.⁸ This strategy reinforces not only the brand’s heritage of quality and design excellence but also its commitment to creating timeless and stylistically durable products.

To further substantiate the link between luxury goods and durability, a recent paper (Sun, Bellezza, and Paharia, 2021) demonstrates that high-end goods, such as luxury apparel, are more sustainable than mass-market products by virtue of their durability and longer life cycle. Focusing on the clothing and accessories industries, the researchers find in one study that consumers engage in more sustainable behaviors with high-end goods (versus low-end goods), since they desire to keep these items longer and engage in sustainable behaviors after use (i.e., recycle, resell, or donate the products) instead of disposing of them. In another study, the researchers examine data from more than 4,600 new and secondhand shoes and handbags scraped from online stores and retailers. The researchers demonstrate that high-end goods are more prevalent in secondhand markets and more likely than mass-market goods to be sold again (Exhibit 2). In other words, the prevalence of high-end products on secondhand websites suggests that these goods are more sustainable than ordinary products because they are more durable and more likely to “make it to a second life.”

Buying Less, but Buying Better

The nascent movement inspired by the “buy less, buy better” principle, the concept of “slow fashion,” and the trend of celebrities wearing the same designer outfit at multiple ceremonies all point to a quest for more conscientious and less wasteful ways of consuming luxury goods. Consumers advocating for these lifestyles typically strive to purchase fewer but higher-end products that will last longer, rather than more products that will be thrown away, contributing to landfills.⁹

The rise of the slow fashion movement represents a fundamental shift in consumer behavior, further echoing the ethos of the “buy less, buy better” strategy. This movement is a response to fast fashion’s rapid and unsustainable pace, advocating for a more mindful approach to clothing consumption. It emphasizes quality over quantity, and durability and timeless design over fleeting trends.

Sustainable luxury products resonate particularly well with Generation Z consumers, who are maturing into a cohort of adults with disposable income and placing sustainability at the forefront of their purchase decisions, particularly within the luxury sector. These consumers are drawn to brands that not only speak of quality and exclusivity but also demonstrate a commitment to environmental stewardship.

With consumers becoming increasingly aware of these issues, there is a growing demand for more sustainable practices in the fashion industry, catalyzing a shift toward more ethical and environmentally conscious production methods. Given such a rise in the slow fashion movement, the sustainable luxury market is expected to expand substantively, with an estimated 6% compound annual growth rate until 2030.¹⁰

Sustainable Consumption as a Status Symbol

Consumers often buy luxury goods to signal their social status to others. Do sustainable luxury goods respond to this signaling need? The concept of status is evolving, and green consumption behavior is indeed increasingly becoming an attractive signal of status (Bellezza 2023).¹¹ With a growing societal focus on environmental and social issues, the luxury market is transitioning to an era of value-based, sustainable luxury, a shift from the previous conspicuous consumption era emphasizing opulence and visibility. This shift reflects a deeper consumer awareness and an increasing inclination toward “conscientious consumption,” where environmental and societal impacts are important considerations.¹²

Purchasing sustainable luxury products offers consumers a visible outlet to express their concern for the world and allows the users of such products to make visible statements that they care about the world.¹³ This shift is not only about individual choices but also represents a collective movement among socially connected circles to embrace environmentally friendly behaviors that symbolize a commitment to sustainability. For example, social signaling has a significant impact on the adoption and diffusion of solar panel installations, because such green behaviors can be a signal of status.¹⁴ Social signaling also affects vehicle purchase

decisions, such as favoring the Toyota Prius for its green positioning, suggesting that consumers are willing to pay a premium for this green status.¹⁵

The conscientious consumer mindset is particularly influential among affluent millennials and Generation Z, who prefer to articulate their altruistic values through their consumption patterns. They demand that luxury brands elevate their social responsibility to align with these values.¹⁶ Importantly, despite sustainable luxury goods gaining traction in recent years, their niche appeal continues to offer a distinction from more conventional luxury goods, providing a unique form of status symbol.

Managerial Implications and the Future of Sustainable Luxury

Sustainable luxury is already shaping today's market, driven by the growing consumer demand for responsibly produced, environmentally friendly products. Makers of luxury brands, who have traditionally championed the principles of craftsmanship, high-quality materials, and timelessness, are in an advantageous position to capitalize on this trend, given their history of creating products that are as durable as they are desirable.

In fact, Sun, Bellezza, and Paharia (2021) find that prompting consumers to consider the durability of products can shift their preference toward choosing to spend a fixed amount of budget on a lower number of high-quality, long-lasting products rather than a larger quantity of midrange goods. Indeed, some luxury brands have historically positioned their brands on durability and timelessness. For example, the luxury watchmaker Patek Philippe's iconic "Generations" campaign (Exhibit 3) proposes that the brand's watches are so durable and timeless that their owners are merely looking after them for the next generation, implying that their watches are a long-term investment.¹⁷

To further champion the idea of investment, brands could encourage consumers to consider the "cost per wear" of their products rather than focusing consumers on the ticket price. The price of a high-end suit will be greater than the price of an ordinary one. However, if the garment lasts a long time and the owner wears it often, then the "cost per wear" of the product at the end of its life may be lower than that of the ordinary suit.

Start-ups and innovative companies can leverage technologies, such as QR codes and near-field communication (NFC) tags, to track their products through their entire life cycle. For example, Federico Marchetti, the founder of YOOX Net-a-Porter, has pioneered the use of the digital ID, in collaboration with the digital ID company Eon, to help consumers participate in the circular economy (Exhibit 4). Using a QR code or a physical NFC tag attached to the clothing items, consumers can digitally track information available for each garment, including the supply-chain data and how to care for and repair the products.^{18,19} In addition to learning more about the sources of raw materials and care instructions, consumers are able to access a suite of services such as authentication, repair, and resale, enhancing the customer experience and reinforcing the luxury brands' commitment to sustainability and circularity. Similarly, Mulberry announced that it would add digital IDs to all of its products by 2025, a move aimed at expanding the brand's circular business practices.²⁰ This would be one way

luxury brands could promote the durability of a luxury good and leverage the booming circular economy in which the goods have multiple lives.

One potential challenge for marketers of high-end brands and products is understanding how to best inform and educate their potential consumers in discerning their goods' intrinsic high quality and durability. Through innovative online platforms and engaging storytelling, brands can educate consumers to understand the environmental and economic benefits of sustainable luxury goods, reinforcing the notion that true luxury stands the test of time and trends. For example, luxury brand Loro Piana uses dedicated web pages to showcase the enduring quality of its Pecora Nera wool,²¹ and premium brand Cuyana emphasizes its commitment to delivering products designed to "last for years to come."²²

Importantly, while this document has primarily centered on the clothing and apparel sectors, the principles of sustainable luxury have potent applicability across diverse categories, such as the furniture and automotive industries, where the inherent value of durability is already well-established.

In conclusion, we propose that focusing on the durability aspect of sustainability can be an effective marketing strategy for high-end brands to promote their products, while at the same time nudging consumers toward buying fewer, better goods. Emphasizing product durability may shape consumers' actual purchase behavior while promoting an attribute central to luxury brands.

Questions for Discussion

1. What limitations, if any, should companies be aware of when promoting the sustainable nature of their luxury products?
2. What are some ways to create a campaign to emphasize the sustainable traits of luxury products?
3. To what product categories could sustainable luxury positioning be best applied?

Exhibits

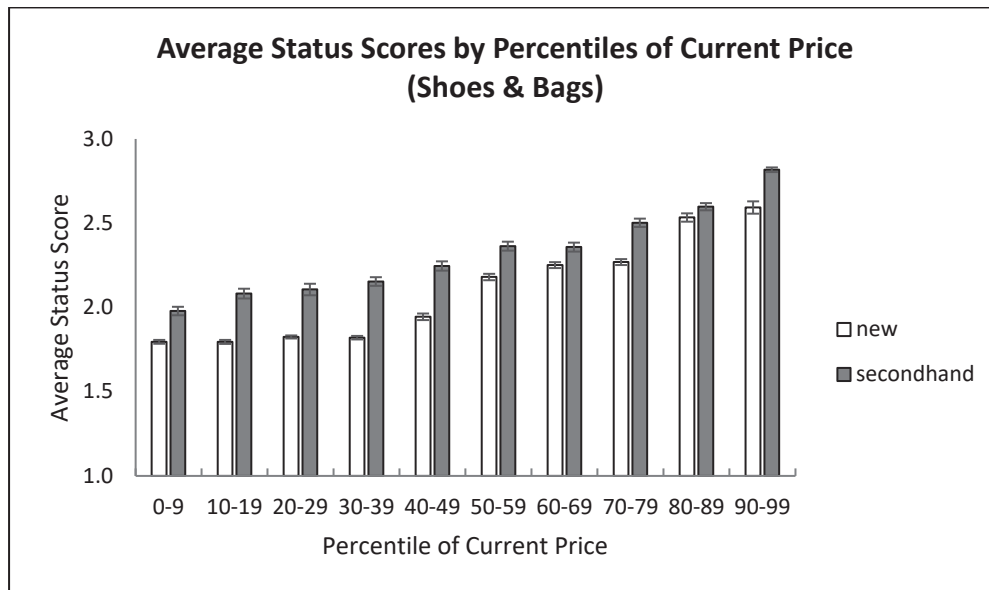
Exhibit 1: Examples of Functional and Stylistic Durability in Luxury Products



Examples of luxury brands' commitment to the two dimensions of durability: (1) functional durability, as evidenced by Gucci's ArtLab facility, which is equipped to test and lengthen the durability of the luxury brand's long-lasting products (top); and (2) stylistic durability, as evidenced by the reissue of the iconic Fendi Baguette bag (bottom).

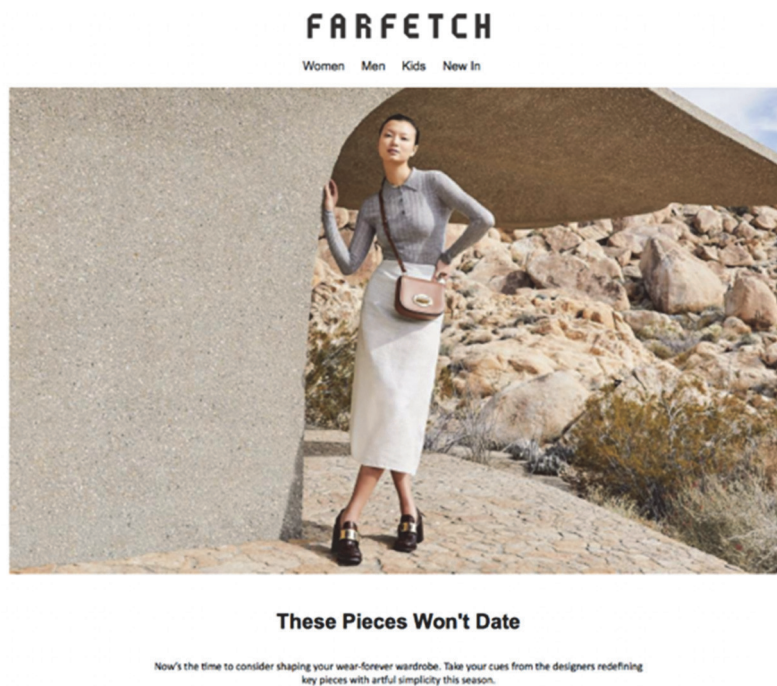
Sources: <https://www.harpersbazaar.com/uk/fashion/what-to-wear/a41106396/fendi-baguette/> and <https://www.sadecor.co.za/interior-design-blog/fashion/gucci-innovates-designs-and-dreams/>

Exhibit 2: Prevalence of Luxury Products on Secondhand Markets



The average status of secondhand branded products is higher than that of new products across all deciles of price, which suggests that the results are not driven by outliers (e.g., a handful of extremely expensive secondhand products and inexpensive new products), thus suggesting the prevalence of luxury products on secondhand markets.

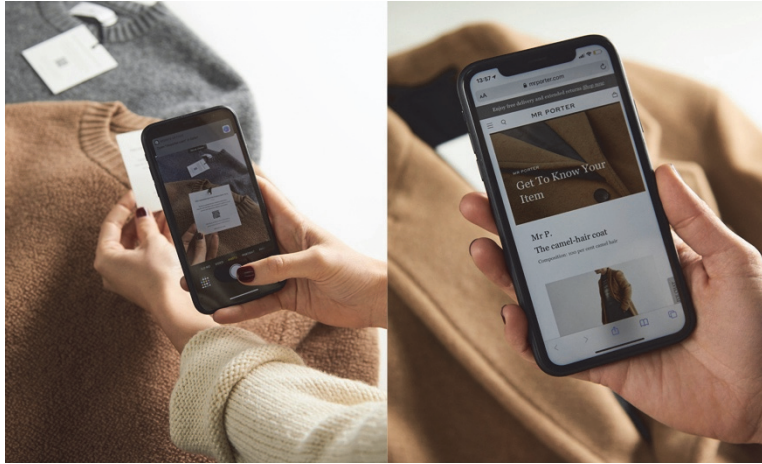
Exhibit 3: Promoting Functional and Stylistic Durability of Luxury Goods



Patek Philippe's iconic "Generations" Campaign (top) and Farfetch's curation of luxury products that "won't date." (bottom)

Sources: <https://lindaelander.com/Patek-Philippe-Generations-Campaign> and [Farfetch.com](https://farfetch.com).

Exhibit 4: Using Digital IDs to Participate in the Circular Economy



YOOX Net-a-Porter's Digital IDs allow consumers access to repair instructions and information about the materials, authenticity, and care of various garments that they purchase at the Mr Porter online store.

Sources: <https://www.ynap.com/news/yoox-net-a-porter-group-pilots-digital-id-technology-ahead-of-roll-out-across-all-private-label-collections-from-2021-accelerating-circularity-in-luxury-and-fashion/> and <https://www.ynap.com/>.

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